

5. Stay low.

This point ties in with what was said above. Creditors and lenders do not want to see that you are maxed out on all your accounts. Regardless of whether or not you are making all the minimum payments every month, your score will suffer if you are carrying a balance that is 35% or more of the available credit limit on the account. They give you credit; they just don't want you to use it.

For example, if you have a credit card with a \$2500 limit, you will want to keep the balance due on that card under \$875. In order to play this numbers game, you may have to spread your balances out over several credit cards. Instead of having a high balance on one card, having low balances on several cards is actually better in terms of how the credit score is calculated. You and I may agree that it should not matter if you carry \$3000 of debt on one card or \$600 on five cards. In fact, in my logic, it should not be that way, but that is how it works. The important thing is that you understand how they rank you. Knowing the rules means we know how to play their game.

Maintaining low balances, and having them distributed among all your cards, so you use just 30–35% of each credit limit, will be good for your credit score. Before you spread one high credit card balance over several cards, though, take a minute and look at the interest rates. If your other cards have high interest rates and you can't pay them off quickly, you could end up with more in interest fees. It might be best to keep the balance on the one low-interest credit card. Don't shoot yourself in the foot by blindly following this tip.

6. Don't go crazy.

Everywhere you turn, there are offers for credit cards. For the purpose of your credit scores, and having it be the best reflection of you, you need to limit how many cards you apply for. Every new account actually hurts your score! Don't just open an account for a free gift or a special savings discount that day. Do you really need another t-shirt anyway?